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Bernstein Energy & Power: Different WACCs, different multiples for gas and power networks

Bartlomiej Kubicki +49 69 717 4418 bartlomiej.kubicki@bernsteinsg.com
Jorge Alonso Suils +34 915 893 913 jorge.alonso@bernsteinsg.com
Neil Beveridge, Ph.D. +852 2123 2648 neil.beveridge@bernsteinsg.com
Bob Brackett, Ph.D. +1 917 344 8422 bob.brackett@bernsteinsg.com
Sunaina Ocalan .+1 917 344 8503 sunaina.ocalan@bernsteinsg.com
Nikhil Nigania +91 226 842 1414 nikhil.nigania@bernsteinsg.com
Abdessamad Raghibi, Ph.D. +212 5 22 86 79 41 abdessamad.raghibi@bernsteinsg.com
Guillaume Delaby +33 1 42 13 62 29 guillaume.delaby@bernsteinsg.com

Written by Bartek Kubicki

We often receive pushback from investors on the valuation of certain regulated utilities, particularly companies such as Terna, which trade at a premium to peers on conventional metrics such as P/E, EV/EBITDA or premium-to-RAB. At first glance, these valuation premiums can appear difficult to justify given broadly similar business models, regulatory risk profiles and growth trajectories across the sector. However, we believe that such comparisons often overlook a crucial factor: the regulatory framework under which these companies operate.

CONCLUSIONS: REAL VS NOMINAL FRAMEWORK MATTER

Our analysis shows that real and nominal WACC frameworks can produce materially different financial and valuation outcomes, even when companies have identical investment profiles and broadly equivalent long-term economics. These differences are particularly important during the current capex expansion across European power networks and should be reflected in peer comparisons.

Real frameworks support faster RAB growth. Inflation indexation increases the Real Company's RAB, although the growth advantage is lower than the inflation rate because regulatory depreciation is also indexed. The relative benefit becomes more visible as capex slows and inflation indexation accounts for a larger proportion of RAB growth.

Nominal frameworks generate higher EBITDA. The higher headline allowed return under a nominal framework supports greater RAB remuneration and therefore higher EBITDA. However, the EBITDA gap narrows over time as inflation indexation increases the Real Company's RAB and allowed regulatory D&A.

Real frameworks create a widening gap between regulatory and IFRS D&A. Regulatory D&A increases with the inflation-indexed RAB, while IFRS D&A reflects historical capex and does not benefit from equivalent indexation. This divergence becomes more pronounced as capex slows and allows EBIT growth under the real framework to outpace EBITDA growth.

Nominal frameworks deliver stronger FCF and lower financing requirements. Higher monetary RAB remuneration improves cash generation during the capex expansion phase and supports a faster FCF recovery once investment moderates. Real-WACC companies consequently require more nominal debt and incur higher financing costs, even if gearing remains broadly comparable.

Net income growth varies materially across frameworks. During the capex expansion phase, real-WACC companies typically deliver lower net income growth because weaker cash remuneration and higher financing costs offset stronger regulatory D&A. The relationship can reverse as capex slows, when inflation-indexed RAB growth and the widening gap between regulatory and IFRS D&A become more supportive.

Real-WACC companies mechanically trade at higher EV/EBITDA multiples. At the same premium to RAB, a nominal-WACC company combines a smaller RAB and enterprise value with higher EBITDA. EV/EBITDA differences across network operators may therefore reflect regulatory design rather than differences in business quality or underlying valuation.

Real-WACC companies also screen on higher P/E multiples. Lower near-term earnings and higher financing costs result in a higher implied P/E at an equivalent premium to RAB. A headline P/E premium should therefore not automatically be interpreted as evidence that a real-WACC company is more expensively valued.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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Dividend policies require periodic recalibration. Where DPS growth is linked to inflation, but earnings grow alongside a rapidly expanding RAB, the payout ratio declines over time. This creates scope for faster dividend growth or a higher payout, although real-WACC companies may initially screen on lower implied dividend yields.

Real and nominal frameworks may justify different premia to RAB at a given point of time. A real framework defers more value into an inflation-indexed asset base, while a nominal framework brings forward a greater proportion of returns through current remuneration. As a result, applying the same premium to RAB across both frameworks may not represent an economically equivalent valuation.

INTRODUCTION

Not all regulatory models are created equal

While investors frequently focus on the headline allowed WACC, the distinction between nominal and real regulatory frameworks can have a material impact on earnings, cash flow generation and therefore valuation multiples. Under a **nominal framework**, the allowed return already incorporates inflation and revenues are recovered more quickly through tariffs. Under a real framework, by contrast, the allowed WACC excludes inflation, while the RAB is inflation-linked. As a result, a larger portion of value creation is deferred into future periods through RAB accretion rather than recognised immediately in earnings and cash flows.

The consequences become particularly pronounced during periods of accelerated investment. As network companies embark on large capex programs and RAB growth accelerates, operators under real-WACC frameworks typically exhibit lower earnings growth, weaker cash generation and higher financing needs than equivalent companies operating under nominal frameworks, despite similar long-term economic returns. Consequently, valuation comparisons based solely on near-term earnings, EBITDA or RAB multiples can be misleading.

In this report, we use a series of theoretical simulations to illustrate how identical investment programs can generate materially different financial outcomes depending solely on the regulatory framework. Our objective is to show why regulatory design matters and why seemingly expensive companies may not necessarily be as expensive as conventional valuation metrics suggest.

The distinction is not merely theoretical, as regulatory approaches vary materially across European networks. Real-return frameworks apply in Italy and Portugal, where the allowed WACC excludes inflation and the RAB is inflation-indexed. In the UK, a semi-nominal framework was introduced for electricity transmission under RIIO-T3 and is likely to be extended to electricity distribution from 2028, while water remains under a real-return framework, with no equivalent change currently under discussion. France applies a mixed framework to gas networks: legacy assets included in the RAB before 2024 continue to earn a real WACC and benefit from inflation indexation, while new assets remunerated under the latest tariff framework earn a nominal WACC and are no longer inflation-indexed. By contrast, Spain, Belgium and Germany predominantly apply nominal frameworks, under which the allowed return incorporates inflation and the RAB is generally not indexed. These differences materially affect the timing of earnings and cash flows and should therefore be reflected when comparing valuation multiples across European network operators.

EXHIBIT 1: **Different countries, different allowed WACC frameworks**

Regulatory WACC frameworks across European networks

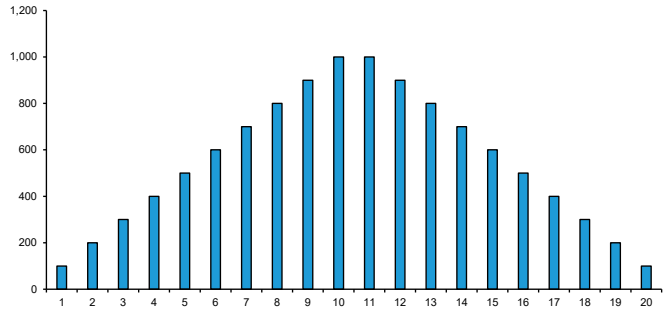
	Italy	Portugal	UK	Spain	Belgium	Germany
Regulatory framework	**Real** (real WACC, inflation-indexed RAB)	**Real** (real WACC, inflation-indexed RAB)	**Semi-nominal (transmission only, for now)**	**Nominal** (nominal WACC, non-indexed RAB)	**Nominal** (nominal WACC, non-indexed RAB)	**Nominal** (nominal WACC, non-indexed RAB)
Key features	Allowed WACC excludes inflation. RAB is inflation-indexed.	Allowed WACC excludes inflation. RAB is inflation-indexed.	Allowed return partially indexed to inflation (semi-nominal) for electricity transmission (RIIO-T3).	Allowed WACC includes inflation. RAB generally not inflation-indexed.	Allowed WACC includes inflation. RAB generally not inflation-indexed.	Allowed WACC includes inflation. RAB generally not inflation-indexed.
Scope / specific comments	Applies to electricity and gas networks.	Applies to electricity and gas networks.	Semi-nominal model introduced for electricity transmission under RIIO-T3 (last year) and likely to be extended to distribution from 2028. Water remains under a real-return framework, with no semi-nominal model currently under discussion.	Applies to electricity and gas networks.	Applies to electricity networks.	Applies to electricity and gas networks.
Selected companies	Terna, snam, Italgas	REN	nationalgrid	redeia, enagas	elia	e·on

Source: Bernstein analysis, Companies

NOMINAL VS REAL - HOW DOES THAT IMPACT FINANCIALS?

To isolate the financial impact of different regulatory frameworks, we model two theoretical network operators - the Nominal Company and the Real Company - with identical starting RABs and capex profiles, but different allowed-return mechanisms. Both companies begin with a RAB of 1,000 and enter the same investment cycle, with annual capex rising from 100 in Year 1 to 1,000 in Years 10 and 11, before gradually declining to 100 by Year 20. This like-for-like framework allows us to assess how the treatment of inflation affects RAB growth, earnings and cash flow generation over the investment cycle.

EXHIBIT 2: **We are looking an an expansionary capex cycle in year 1 to 11, followed by a gradual decline to year 20**



Source: Bernstein analysis and estimates

For the allowed-return calculation, we assume a 4.0% risk-free rate, **2.0% inflation**, a 0.8x asset beta, a 5.0% equity risk premium, a 25% tax rate and 50% notional gearing. Based on these common assumptions, the Nominal Company earns a **7.3% nominal pre-tax allowed WACC**, while the Real Company earns a **5.0% real pre-tax allowed WACC**. The difference reflects the treatment of inflation: it is embedded directly in the Nominal Company's allowed return, while the Real Company is compensated through inflation indexation of its RAB. Please note that we are not looking at the potential inflation-led value creation should inflation rise above our assumption.

RAB growth differs, but by less than inflation

Over the 20-year illustrative investment cycle, assuming 2% inflation, the Nominal Company's RAB grows at an 11.7% CAGR, while the Real Company's RAB expands 1.1 percentage points faster, at 12.9%. Importantly, the growth differential is below the assumed 2% inflation rate. This reflects the fact that inflation indexation applies not only to the Real Company's RAB, but also to its associated regulatory depreciation. As a result, the Real Company's allowed D&A increases faster than the Nominal Company's, partly offsetting the incremental RAB growth generated by inflation indexation. The gap in allowed D&A widens progressively over the investment cycle, with the Real Company's D&A reaching 20% above that of the Nominal Company by Year 20.

This difference also affects the relative EBITDA profiles of the two companies, as discussed below.

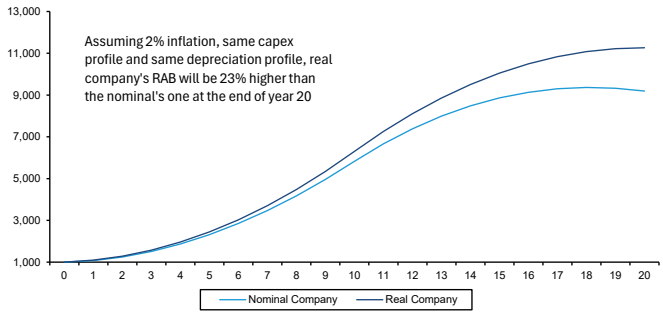
The RAB growth differential also varies across the investment cycle. During the capex expansion phase, accelerating investment supports strong RAB growth for both companies, limiting the relative impact of inflation indexation. However, as capex peaks and subsequently declines, inflation-linked growth becomes a more important component of the Real Company's RAB evolution. As a result, the Real Company delivers faster RAB growth relative to the Nominal Company during the investment slowdown, providing a more resilient growth profile as the contribution from new investment moderates.

EXHIBIT 3: **RAB CAGR differs between the Nominal and Real Companies although the difference is less than inflation and accelerates when investments slow down**

Company	RAB CAGR	RAB CAGR year 0-11	RAB CAGR year 11-20
Nominal Company	11.7%	18.8%	3.6%
Real Company	12.9%	19.7%	5.0%
CAGR difference (%p)	**1.1%**	**0.9%**	**1.4%**

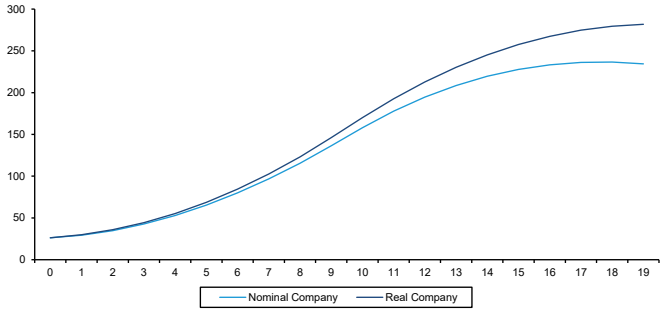
Source: Bernstein analysis and estimates

EXHIBIT 4: **Nominal and Real Companies' RAB evolution**



Source: Bernstein analysis and estimates

EXHIBIT 5: **Real Company's regulated D&A will be 20% higher in year 20**

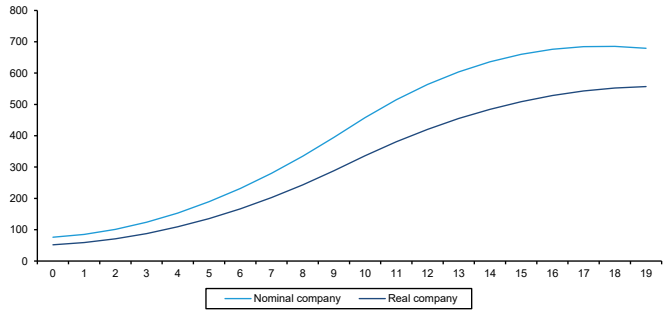


Source: Bernstein analysis and estimates

Nominal framework supports higher EBITDA particularly in the capex expansion phase

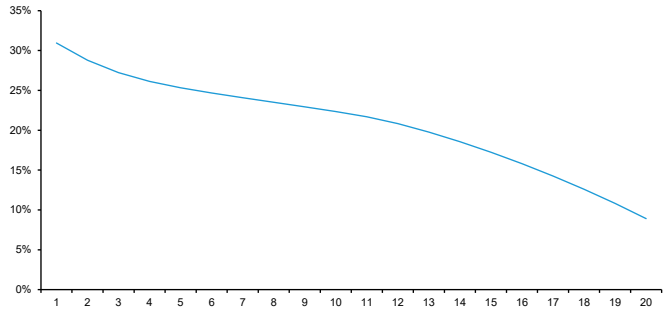
Assuming no incentives and no outperformance or underperformance on allowed opex, each company's EBITDA equals regulatory depreciation plus RAB remuneration, calculated in our example as the allowed WACC multiplied by average RAB. Reflecting its higher headline allowed return, the Nominal Company initially generates almost 30% more EBITDA than the Real Company. The premium narrows to 22% at the peak of the investment cycle and to 9% by Year 20, as inflation indexation supports the Real Company's RAB and progressively increases its allowed D&A. Importantly, however, **the EBITDA growth trajectory of each company remains broadly aligned with its respective RAB growth profile throughout the cycle. EBITDA accelerates during the capex expansion phase and decelerates as capex slows.**

EXHIBIT 6: **Nominal Company benefits from higher headline allowed WACC**



Source: Bernstein analysis and estimates

EXHIBIT 7: **EBITDA difference between the Nominal and Real Company shrinks over time although remains high during the capex expansion cycle**

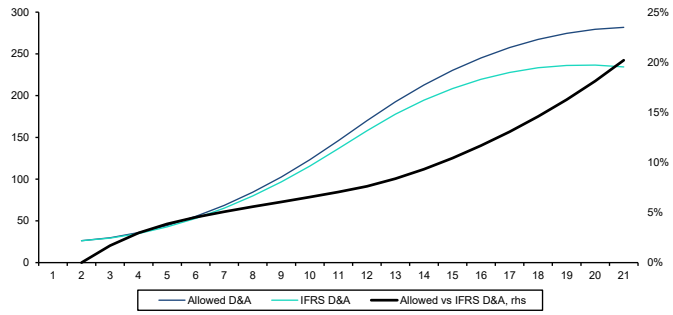


Source: Bernstein analysis and estimates

Real framework creates a widening gap between regulatory and IFRS D&A

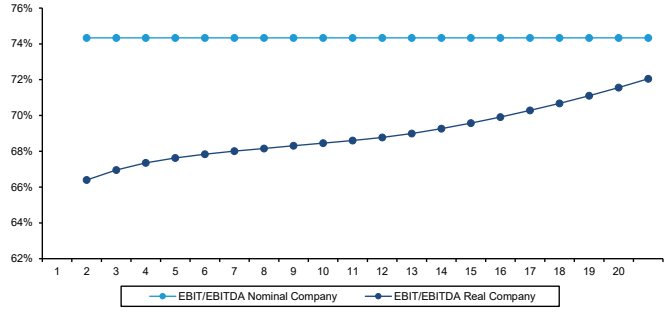
The Real Company's allowed regulatory D&A is higher than that of the Nominal Company, as inflation indexation increases both its RAB and the associated depreciation allowance, supporting EBITDA growth. By contrast, IFRS D&A does not benefit from inflation indexation, as the book value of fixed assets generally reflects historical capex rather than the inflation-adjusted regulatory asset base. This has three important implications. **First**, the gap between regulatory and IFRS D&A widens over time. **Second**, this divergence accelerates during the capex slowdown phase, as IFRS D&A increasingly reflects lower recent investment while regulatory D&A continues to benefit from inflation indexation. **Third**, the widening gap allows the Real Company's EBIT to grow faster than its EBITDA. Over the illustrative 20-year period, the Real Company's EBITDA increases at a 13.3% CAGR, 1.1 percentage points faster than that of the Nominal Company. Its EBIT grows at a 13.8% CAGR, 0.5 percentage points faster than its EBITDA and 1.6 percentage points faster than the Nominal Company's EBIT.

EXHIBIT 8: **The difference between allowed D&A and IFRS D&A widens over time for a Real Company supporting its EBIT expansion and EBIT margins**



Source: Bernstein analysis and estimates

EXHIBIT 9: **Real Company's EBIT/EBITDA relation will increase over time with a rising difference between the allowed and IFRS D&A**



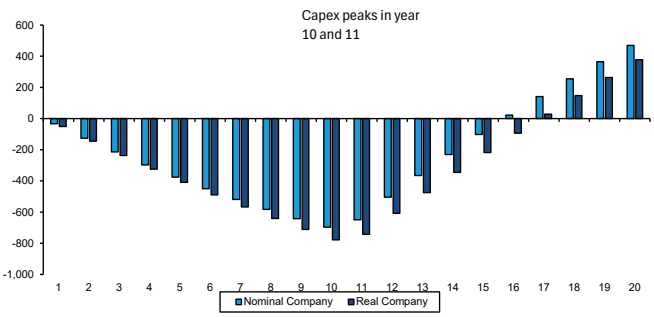
Source: Bernstein analysis and estimates

FCF generation will keep looking better for the Nominal Company, which will lower financial costs

A real allowed WACC results in lower RAB remuneration in monetary terms, particularly during the capex expansion phase. This translates into weaker FCF generation and a slower recovery in FCF once investment begins to decelerate. Consequently, **the Real Company requires a higher nominal level of debt**, with the absolute debt gap widening over time despite both companies starting at 50% net debt/RAB. The resulting increase in interest expense places additional pressure on the Real Company's net income.

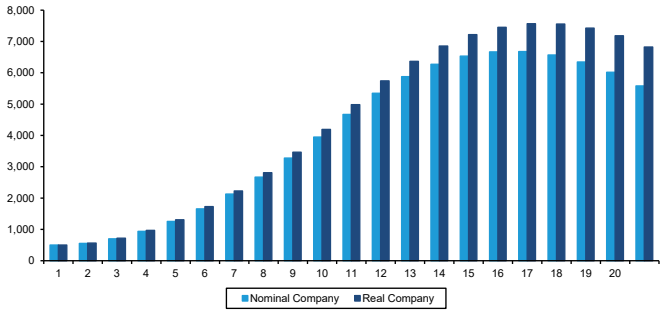
In our illustrative example, the Nominal Company generates 25% more cumulative FCF than the Real Company over the 20-year period, equivalent to a difference of approximately 1,500. As a result, the Real Company's net debt remains above that of the Nominal Company, with the absolute difference continuing to increase through Year 20. However, **the difference in net debt/ RAB remains limited**, as the Real Company's higher nominal debt is largely matched by its larger inflation-indexed RAB.

EXHIBIT 10: **Nominal Company will generate higher FCF than the Real Company thanks to higher cash RAB return and thanks to lower financial costs**



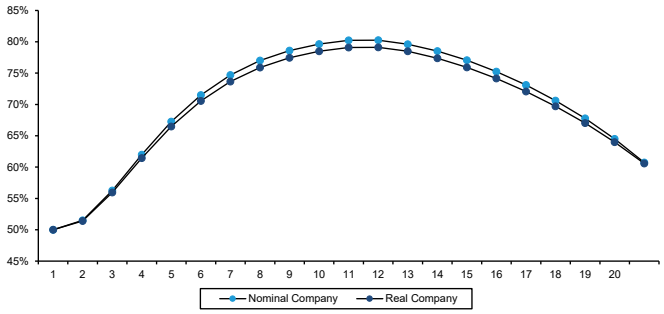
Source: Bernstein analysis and estimates

EXHIBIT 11: **Lower FCF generation will result in higher net debt level of the Real Company**



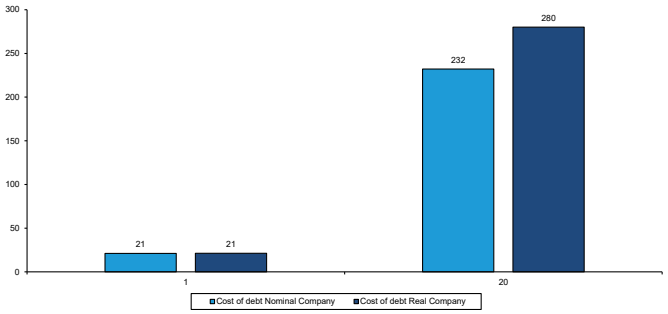
Source: Bernstein analysis and estimates

EXHIBIT 12: **Despite higher net debt levels, the Real Company will have a similar net debt/RAB to the Nominal Company thanks to faster RAB growth resulting from inflation indexation**



Source: Bernstein analysis and estimates

EXHIBIT 13: **Cost of debt of the Real Company will be c. 20% higher than cost of debt of the Nominal Company in year 20 despite the same starting point**



X-axis = years
Source: Bernstein analysis and estimates

Net income growth shifts across the investment cycle

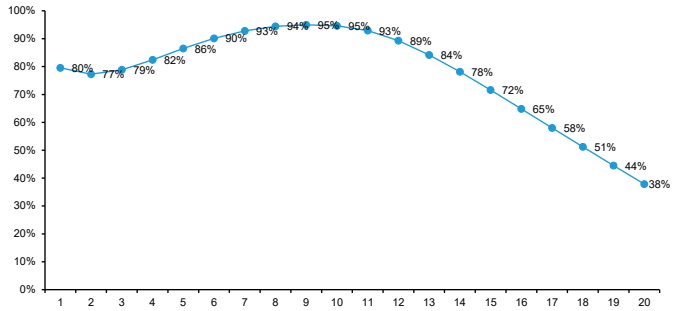
Our illustrative example ultimately produces **materially different net income profiles under the two regulatory frameworks**. Over the full 20-year investment cycle, the Real Company delivers net income growth that is 1.6 percentage points higher than that of the Nominal Company. However, the phasing differs significantly. During the capex acceleration phase through Year 11, the Real Company's net income grows at a 15.9% CAGR, below the Nominal Company's 16.7%. During the subsequent capex slowdown phase, this relationship reverses, with the Real Company delivering 10.4% annual growth versus 6.3% for the Nominal Company. This supports our central argument to investors: **during the capex expansion currently underway across power networks, companies operating under real-WACC frameworks should typically deliver lower net income growth than peers under nominal-WACC frameworks**. Net income growth can also diverge materially from EBITDA and EBIT growth, as the Real Company's higher financing requirements and interest costs partly offset the benefit of rising regulatory D&A and stronger underlying EBIT growth.

EXHIBIT 14: **EBITDA, EBIT and Net Income growth differs depending on the capex expansion cycle and the regulatory framework**

EBITDA CAGR	EBITDA CAGR	EBITDA CAGR year 0-11	EBITDA CAGR year 11-20
Nominal Company	12.2%	19.7%	4.5%
Real Company	13.3%	20.5%	5.8%
CAGR difference (%p)	**1.1%**	**0.9%**	**1.3%**
EBIT CAGR	**EBIT CAGR**	**EBIT CAGR year 0-11**	**EBIT CAGR year 11-20**
Nominal Company	12.2%	19.7%	4.5%
Real Company	13.8%	21.0%	6.3%
CAGR difference (%p)	**1.6%**	**1.3%**	**1.8%**
Net income CAGR	**Net income CAGR**	**Net income CAGR year 0-11**	**Net income CAGR year 11-20**
Nominal Company	11.7%	16.7%	6.3%
Real Company	13.2%	15.9%	10.4%
CAGR difference (%p)	**1.6%**	**-0.8%**	**4.0%**

Source: Bernstein analysis and estimates

EXHIBIT 15: **The net income difference between the Nominal and the Real Companies grows during the capex expansion phase but significantly diminishes once capex deaccelerates**



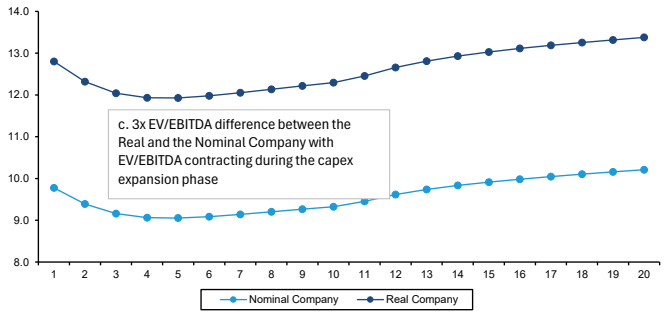
Source: Bernstein analysis and estimates

VALUATION IMPLICATIONS SHOULD NOT BE IGNORED

Investors often focus on the premium or discount to RAB at which regulated networks trade, effectively comparing enterprise value with the regulated asset base. Without revisiting the merits of the different valuation methodologies here, which we addressed in our Regulated Networks Primer series: Part 2: A deep-dive into valuation, we assume for illustrative purposes that both companies trade at a 0% premium to RAB, implying EV/RAB of 1.0x. Based on this simplifying assumption, our theoretical example highlights several important implications for the earnings and cash flow multiples of companies operating under nominal and real allowed WACC frameworks.

First, assuming both companies trade at a 0% premium to RAB, the Nominal Company should trade at a lower EV/EBITDA multiple. Its RAB is smaller due to the absence of inflation indexation, while its higher nominal allowed return supports greater EBITDA generation. The combination of a lower enterprise value and higher EBITDA mechanically results in a lower multiple than for the Real Company. In our illustrative example, this regulatory difference alone produces an approximately 3x EV/EBITDA valuation gap. Consequently, EV/EBITDA differences across regulated networks may reflect regulatory design rather than differences in valuation or business quality.

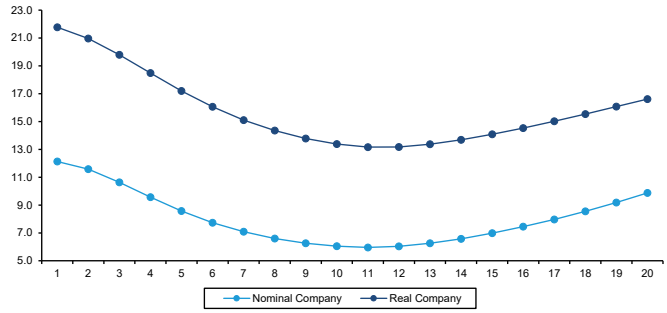
EXHIBIT 16: **The Real Company should trade at higher EV/EBITDA multiple than the Nominal Company under the same premium to RAB valuation**



Source: Bernstein analysis and estimates

Second, the EV/EBITDA differential also translates into a material P/E gap at the same premium-to-RAB valuation. In our illustrative example, the Real Company trades at a P/E multiple approximately 8x higher than the Nominal Company on average over the 20-year period. The implied P/E declines during the capex acceleration phase as earnings growth strengthens, before the relative trajectory changes as investment slows. **This further demonstrates that higher P/E multiples for real-WACC companies can be a mechanical consequence of the regulatory framework and should not necessarily be interpreted as evidence of a richer underlying valuation.**

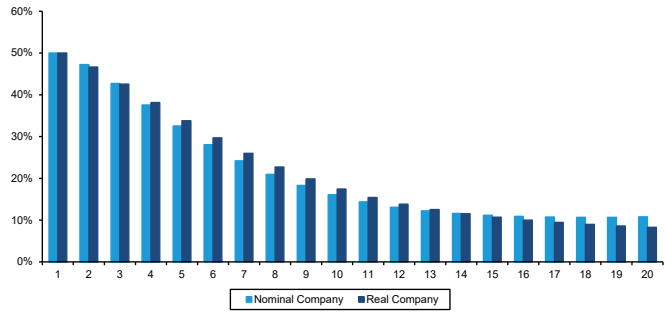
EXHIBIT 17: **The Real Company should trade at a higher P/E multiple than the Nominal Company**



Source: Bernstein analysis and estimates

Third, setting the appropriate dividend policy matters. Our illustrative example assumes a 50% payout ratio in Year 1, followed by 3% annual DPS growth, broadly consistent with the inflation-linked dividend policies adopted by many regulated networks. With earnings expanding materially faster than DPS, the payout ratio declines progressively over time. Low double-digit RAB and earnings growth therefore creates scope to recalibrate the dividend policy after several years, either through faster DPS growth or a higher target payout. Moreover, assuming both companies trade at a 0% premium to RAB, **the Real Company can screen on a lower implied dividend yield**. Its inflation-indexed RAB supports a higher equity value, while lower near-term earnings and cash generation constrain the initial dividend base. As a result, dividend-yield comparisons across regulated networks can also be distorted by the underlying allowed-WACC framework.

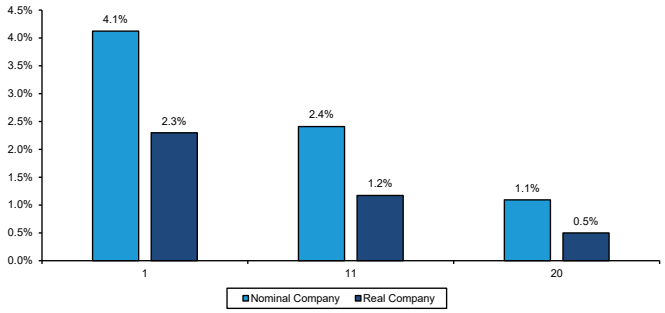
EXHIBIT 18: **Fast RAB and thus earnings growth support dividend policy recallibration**



Source: Bernstein analysis and estimates

环球研报直通车 一手研报库 订阅报告-微信：waiziyanbao

EXHIBIT 19: **Nominal WACC companies should trade at higher implied dividend yield than real WACC companies under the same dividend policy**



X-axis = years
Source: Bernstein analysis and estimates

Different Frameworks, Different RAB Premia?

We believe they should, although we leave the detailed analysis for another Blast. As a preview, we apply a 20-year DCF to both companies using an equivalent 6% nominal discount rate, based on an 8% post-tax nominal cost of equity and a 4% pre-tax nominal cost of debt. Assuming terminal value in Year 20 equals the RAB at that point, the model implies a 27% premium to Year 0 RAB for the Nominal Company and a 34% premium for the Real Company. **This suggests that identical spot premia to RAB may not represent equivalent valuations across regulatory frameworks or at different stages of the investment cycle**. Moreover, if the Real Company's inflation-indexed RAB justifies a higher premium to terminal RAB than the Nominal Company's non-indexed RAB, the difference between their implied premiums to Year 0 RAB should be **wider**, rather than lower.

CONCLUSIONS: REAL VS NOMINAL FRAMEWORK MATTER

Our analysis shows that real and nominal WACC frameworks can produce materially different financial and valuation outcomes, even when companies have identical investment profiles and broadly equivalent long-term economics. These differences are particularly important during the current capex expansion across European power networks and should be reflected in peer comparisons.

Real frameworks support faster RAB growth. Inflation indexation increases the Real Company's RAB, although the growth advantage is lower than the inflation rate because regulatory depreciation is also indexed. The relative benefit becomes more visible as capex slows and inflation indexation accounts for a larger proportion of RAB growth.

Nominal frameworks generate higher EBITDA. The higher headline allowed return under a nominal framework supports greater RAB remuneration and therefore higher EBITDA. However, the EBITDA gap narrows over time as inflation indexation increases the Real Company's RAB and allowed regulatory D&A.

Real frameworks create a widening gap between regulatory and IFRS D&A. Regulatory D&A increases with the inflation-indexed RAB, while IFRS D&A reflects historical capex and does not benefit from equivalent indexation. This divergence becomes more pronounced as capex slows and allows EBIT growth under the real framework to outpace EBITDA growth.

Nominal frameworks deliver stronger FCF and lower financing requirements. Higher monetary RAB remuneration improves cash generation during the capex expansion phase and supports a faster FCF recovery once investment moderates. Real-WACC companies consequently require more nominal debt and incur higher financing costs, even if gearing remains broadly comparable.

Net income growth varies materially across frameworks. During the capex expansion phase, real-WACC companies typically deliver lower net income growth because weaker cash remuneration and higher financing costs offset stronger regulatory D&A. The relationship can reverse as capex slows, when inflation-indexed RAB growth and the widening gap between regulatory and IFRS D&A become more supportive.

Real-WACC companies mechanically trade at higher EV/EBITDA multiples. At the same premium to RAB, a nominal-WACC company combines a smaller RAB and enterprise value with higher EBITDA. EV/EBITDA differences across network operators may therefore reflect regulatory design rather than differences in business quality or underlying valuation.

Real-WACC companies also screen on higher P/E multiples. Lower near-term earnings and higher financing costs result in a higher implied P/E at an equivalent premium to RAB. A headline P/E premium should therefore not automatically be interpreted as evidence that a real-WACC company is more expensively valued.

Dividend policies require periodic recalibration. Where DPS growth is linked to inflation, but earnings grow alongside a rapidly expanding RAB, the payout ratio declines over time. This creates scope for faster dividend growth or a higher payout, although real-WACC companies may initially screen on lower implied dividend yields.

Real and nominal frameworks may justify different premia to RAB at a given point of time. A real framework defers more value into an inflation-indexed asset base, while a nominal framework brings forward a greater proportion of returns through current remuneration. As a result, applying the same premium to RAB across both frameworks may not represent an economically equivalent valuation.

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BERNSTEIN TICKER TABLE

			22 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)	
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
TRN.IM (Terna)	O	EUR	9.48	10.30	(6.7)%	EUR	0.52	0.51	0.54	18.2	18.6	17.5
ELI.BB (Elia)	O	EUR	125.10	145.00	5.4%	EUR	5.51	6.91	7.84	22.7	18.1	16.0
RED.SQ (Redeia)	O	EUR	14.84	18.60	(22.7)%	EUR	0.90	0.92	0.93	16.4	16.1	15.9
NG/.LN (National Grid)	O	GBp	1,224.00	1,310.00	(4.0)%	GBP	0.73	0.78	0.89	16.8	15.8	13.7
SSE.LN (SSE)	O	GBp	2,564.00	2,850.00	23.8%	GBP	1.61	1.53	1.82	15.9	16.7	14.1
ENGI.FP (Engie)	O	EUR	23.11	27.70	8.7%	EUR	1.96	2.09	2.14	11.8	11.0	10.8
SRG.IM (Snam)	M	EUR	5.89	6.40	(0.9)%	EUR	0.41	0.43	0.43	14.3	13.8	13.8
IG.IM (Italgas)	M	EUR	8.73	9.80	(9.9)%	EUR	0.66	0.73	0.81	13.2	11.9	10.8
ENG.SQ (Enagas)	O	EUR	17.46	18.80	12.1%	EUR	1.02	0.92	1.15	17.2	18.9	15.2
RENE.PL (Redes Energéticas)	O	EUR	3.54	4.35	2.8%	EUR	0.18	0.22	0.21	19.6	16.2	16.6
IBE.SM (Iberdrola)	M	EUR	21.74	20.00	17.6%	EUR	0.95	1.02	1.15	22.9	21.2	18.9
EOAN.GR (E.ON)	O	EUR	18.36	20.20	3.1%	EUR	1.16	1.09	1.25	15.9	16.9	14.7
EDME			1,580.92									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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